

ECON 351 · Focused Practice Set

Set 6 of 10

Chapter 4

Assumptions / Preferences

2 questions in this practice set

Questions: Q11, Q12

Screenshots from original HW, sample questions, and mock midterm.

Question 1 of 2 (Practice Q11)

Preferences #1 · HW1 Ex 2.2

Exercise 2 - Preferences' Assumptions

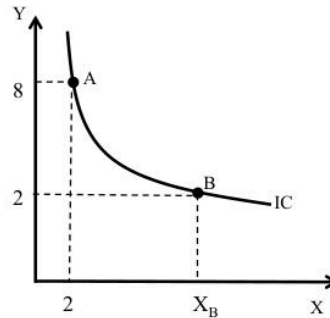
2.1 Jackie was at the movie theater last night. The two movies available were "Knives out" and "Top Gun Maverick." She didn't care which one to see. Does this imply a violation of any assumption on preferences? If so, which one?

2.2 Again, Jackie goes to the movies. The two movies available are "Avatar" and "The Avengers," and she says she cannot decide which one to see. Does this imply a violation of any assumption on preferences? If so, which one?

2.3 On a different day, there were three movies available: "Parasite," "Indiana Jones," and "Jurassic Park." Jackie said she rather watch Parasite over Indiana Jones and Indiana Jones over Jurassic Park. But she would also prefer watching Jurassic Park over Parasite. Does this imply a violation of any assumption on preferences (beyond displaying poor taste)? If so, which one?

Question 2 of 2 (Practice Q12)

Preferences #2 · Sample Q8

What do we know about X_B ?

- (A) $X_B = 4$
- (B) $X_B = 3$
- (C) $X_B = 18$
- (D) $X_B = 16$
- (E) $X_B = 8$

Question 10:

Assume that apples are measured on the horizontal axis and oranges on the vertical axis. If the price of apples increases from \$3 to \$6, and the price of oranges increases from \$2 to \$4, then the budget line will:

- (A) become flatter.
- (B) become steeper.
- (C) shift inward (parallel shift).
- (D) shift outward (parallel shift).
- (E) become steeper or flatter depending on the relationship between prices and income.

Question 9:

Angelique's preferences over goods X and Y can be represented by the following utility function: $u(X, Y) = X^2Y^3$. The graph below represents two baskets, A and B, on the same indifference curve of this consumer.